



Our ref: IM-72818

Land of the Wurundjeri people of the Kulin Nation
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11 February 2025

Dear Interested Party

Re: ACCC seeking your views: Cement Australia, Holcim and Heidelberg Materials Australia's acquisition of BGC's cementitious assets

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition by Cement Australia (Queensland) Pty Ltd (a wholly owned subsidiary of Cement Australia Holdings Pty Ltd (**Cement Australia**)), Holcim (Australia) Pty Ltd (**Holcim**) and Heidelberg Materials Australia Pty Ltd (**HMA**) (together '**the Acquiring Parties**') of BGC Australia Pty Ltd's (**BGC Group**) cement, quarry, ready-mix concrete (**RMX**), asphalt, transport and materials technology centre assets (**BGC Cementitious**) (the **Proposed Acquisition**).

Cement Australia, Holcim, HMA and BGC Cementitious are suppliers of various construction materials including cement, aggregates, concrete and asphalt.

Cement Australia has proposed to offer a court enforceable undertaking to address potential competition issues. The proposed undertaking would involve the divestiture of the BGC Wangara RMX plant (in greater Perth) to an ACCC-approved buyer following completion of the Proposed Acquisition.

Further details can be found in **Attachment A**.

The ACCC's investigation is focused on the impact on competition of the Proposed Acquisition. In particular, we are seeking your views on:

- how closely BGC, Holcim and HMA compete with each other in the supply of aggregates and RMX in Western Australia
- the impact of the Proposed Acquisition (including overlaps and vertical relationships) on the price and/or service quality for aggregates, cement, RMX and asphalt
- Cement Australia's proposed divestiture, and
- whether customers would have sufficient alternative suppliers for aggregates, cement, RMX and asphalt post Proposed Acquisition.

Further issues you may wish to address are set out at **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on **25 February 2025** via email to mergers@accc.gov.au with the title: *Submission re: Cement Australia - BGC*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the printed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

The proposed acquisition

Cement Australia, Holcim and HMA propose to acquire BGC Cementitious from BGC Group. BGC Cementitious comprises BGC Cement, BGC Concrete, BGC Quarries, BGC Asphalt, BGC Transport and the company's Materials Technology Centre. The proposed acquisition does not include other assets or businesses of BGC Group such as windows, engineered suspended flooring, brick, masonry or pre-cast materials.

Cement Australia

Cement Australia is a privately held 50:50 joint venture between Holcim and HMA. Cement Australia supplies cementitious products and services, including bulk and packaged cement, fly ash and slag products.

Cement Australia has operations in New South Wales, Victoria, Queensland, South Australia, ACT, Western Australia and Tasmania. Cement Australia does not have any cement or slag cement production facilities in Western Australia.¹

The operations of Cement Australia are governed by an existing Framework Agreement which establishes ring-fencing as between Cement Australia, Holcim and HMA, putting in place restrictions to prevent Holcim and HMA from accessing information about the sale of cementitious products by Cement Australia to each other party to the joint venture or to other customers.

Holcim

Holcim is a Swiss multinational company that manufactures and supplies various building materials across Australia, including aggregates, concrete and pre-cast pipes. In Western Australia, Holcim owns and operates a number of RMX plants and quarries (hard rock and sand).

HMA

HMA is a German multinational company that manufactures and supplies various building materials across Australia, including aggregates, concrete and asphalt. In Western Australia, HMA owns and operates a number of RMX plants and quarries (hard rock and sand).

BGC Cementitious

BGC Cementitious is a division of the BGC Group which supplies cementitious products in Western Australia including:

- cement and slag through BGC Cement
- aggregate (hard rock and manufactured sand) through BGC Quarries, which operates a hard rock quarry at the Lakes
- RMX through BGC Concrete, and
- asphalt through BGC Asphalt.

¹ The ACCC understands that Cement Australia acquires and resupplies cement to Holcim and HMA in WA, and Cement Australia does not resupply cement that it acquires to third parties in WA.

BGC Transport owns and operates a number of vehicles, operating out of different hubs used in the BGC Cementitious business. BGC's Materials Technology Centre is a testing laboratory for cement, concrete, asphalt and related products located in Hazelmere.

Transaction structure

The BGC Cementitious assets are proposed to be allocated between the Acquiring Parties as follows:

- BCG Cement will be acquired and operated by Cement Australia.
- BGC Quarries and BGC Asphalt will be acquired and operated by a new 50:50 joint venture between Holcim and HMA, which will operate as a production joint venture in respect of aggregates.
- Eight of BGC Concrete's RMX sites in greater Perth will be divided between Holcim and HMA. Holcim will acquire the RMX sites at Quinns Rocks, Canning Vale, Hazelmere and Mandurah (4 in total). HMA will acquire the RMX sites at Armadale, Kwinana, Bassendean and Moora (4 in total).

Cement Australia proposes to divest the remaining BGC RMX site (see below).

Potential section 87B Undertaking

Cement Australia has proposed to offer a court-enforceable undertaking pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth).

Cement Australia proposes to divest the BGC Wangara RMX plant (located at 329 Gnangara Road, Wangara WA 6065) to an ACCC-approved buyer following completion of the Proposed Acquisition. Both Holcim and HMA operate sites in close proximity to the BGC Wangara RMX plant.

As part of its review, the ACCC is seeking preliminary views on whether the divestiture of the BGC Wangara RMX plant is, in principle, capable of addressing any competition concerns raised by the Proposed Acquisition.

The ACCC has not yet decided whether this type of undertaking, or any undertaking at all, would be capable of addressing any competition concerns arising from the proposed acquisition. The ACCC may consult on the specific terms of a proposed undertaking as its review progresses.

Attachment B

1. Please provide a brief description of your business or organisation.
2. Please outline the reasons for your interest in the proposed acquisition, including any commercial relationship(s) with Cement Australia, Holcim, HMA and/or BGC. This will help us better understand your views.

Areas of overlap & vertical relationships

The ACCC understands that Holcim, HMA and BGC overlap in the supply of aggregates and RMX in Western Australia, and that none of Cement Australia, Holcim or HMA supply cement or asphalt in Western Australia (except for the cement that Cement Australia acquires and resupplies to Holcim and HMA).

The ACCC notes that aggregates are a key input into RMX production and asphalt production.

In answering the questions below, please consider RMX and asphalt, their key inputs and any other products which Cement Australia, Holcim, HMA and BGC compete to supply.

3. How closely do Cement Australia, Holcim, HMA and BGC compete to provide goods and services in Western Australia, taking into account factors such as:
 - a) price, including specials, discounts and promotions
 - b) quality and range of goods, service quality
 - c) customer type
 - d) geographic location, and
 - e) reputation.
4. Identify and describe the main competitors of Cement Australia, Holcim, HMA and BGC in the supply of aggregates, cement, RMX and asphalt. Describe whether the state of competition differs within the greater Perth area and/or between the greater Perth area, Western Australia and Australia and if so, how.
5. To what extent are the products or inputs for the products supplied by Cement Australia, Holcim, HMA and BGC imported into Western Australia (either domestically or internationally)? Please identify the parties who currently import these products and their estimated production capacity, if known. Are there any barriers which may prevent imports expanding? For example, price differences, product range, quality, shipping costs, supply risks and lead times.
6. Describe barriers a business may face in commencing or increasing supply of aggregates, cement, RMX and/or asphalt in Western Australia. (For example investment costs, regulatory barriers or existing long term contracts.)
7. Identify and provide details of any aggregate, cement, RMX or asphalt products you acquire from Cement Australia, Holcim, HMA and/or BGC or that you supply in Western Australia.

8. Describe the extent to which products including aggregates, cement, RMX and asphalt supplied by Cement Australia, Holcim, HMA and/or BGC in Western Australia are alternatives for each other and whether there are other alternatives to these products. In your response, consider:
 - a) price
 - b) quality
 - c) product range
 - d) geographic location of relevant plants and transit time.
9. Describe the geographic area over which aggregates, cement, RMX and/or asphalt are generally sourced in Western Australia. Can customers source these products from further away in response to a price increase? In your response, please describe the transport costs and other relevant factors which influence the suitable transit time.
10. Describe how frequently customers typically switch suppliers for aggregates, cement, RMX and/or asphalt, and the factors which influence the decision to switch.
11. Describe how the prices of aggregate, cement, RMX and asphalt are determined, and provide details of the factors that influence the prices such as volumes purchased and international import prices of the products and/or their inputs.

Other information or competition issues

12. Outline any concerns you may have about the proposed acquisition, including any impact on price, service quality, or choice of suppliers.
13. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.

Proposed section 87B undertaking

14. Please explain whether Cement Australia's proposed divestiture would or would not fully address any competition concerns you have in relation to the Proposed Acquisition.